

penditure inequality. Therefore, our findings on expenditure inequality are under-estimates for income inequality.

First, the big picture. The shares of different expenditure classes in overall expenditure move in different directions. An overall picture is obtained through an inequality measure. The most common inequality measure is the Gini coefficient. Stated simply, the Gini coefficient measures the gap between the shares of different classes in the population and the shares of these classes in expenditure. If life is perfectly equal, the Gini coefficient will be 1 and if life is perfectly unequal, the Gini coefficient will be 0. In urban India, the coefficient was 0.376 in 2004-05, while it was 0.305 in rural India. Urban India is more unequal than rural India. By global standards, these aren't high figures. India is a relatively equal country, measured through consumption expenditure. However, in both urban and rural India, inequality has increased since 1993-94. If one looks at urban India, inequality has increased in every state barring Himachal Pradesh, Jammu & Kashmir, Sikkim, Chandigarh, Delhi and

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a few UTs. Among large states, notice the jumps in Haryana, Madhya Pradesh, Rajasthan and Punjab. In rural India, inequality has declined in Arunachal Pradesh, Rajasthan, Bihar and Tripura. Among large states, there have been large jumps in Gujarat, Orissa, Kerala, Punjab and West Bengal. The conclusion is unambiguous. Barring some exceptions, inequality has increased in post-reform India.

The Gini index is a sophisticated measure, often difficult to understand. Let's take simple measures, say the share of the bottom 20 per cent in total expenditure, and compare it with the share of the top 20 per cent. This has to be done separately for rural and urban India. In 1993-94, the bottom 20 per cent in rural India enjoyed 9.61 per cent of the total expenditure and in 2004-05, this declined further to 9.40 per cent. Conversely, the share of the top 20 per cent of rural India in total expenditure was 38.59 per cent in 1993-94 and increased to 40.23 per cent in 2004-05. In rural India, the expenditure of the relatively rich increased more than that of the relatively poor. The detailed figures show that shares declined for all except the top 20 per cent. That's the reason inequality has increased. The urban Indian picture is no different. In 1993-94, the bottom 20 per cent in Indian cities were responsible for 8.04 per cent of the total expenditure and in 2004-05, this declined to 7.26 per cent. The share of the top 20 per cent urban Indians in total expenditure was 42.80 per cent in 1993-94 and increased to 45.28 per cent in 2004-05. We also look at income per salary earner and per capita monthly expenditure of households. Survey data typically under-report incomes and expenditures; these are therefore calibrated with the Government's National Account Statistics to provide a more representative picture.

We find strong evidence that the poorest segments have become better off in the post-reform period, though the improvement in their economic well-being is less than that of the richest segments. The perception that there is discontent in rural India and amongst the underprivileged isn't all that misplaced.

Parts of India are indeed whining. There need be no debate on that, except that this relative deprivation is best understood in terms of geographical regions and not simple equations of caste, religion or ethnicity. The debate should now be about the policy response and the role of the State. Had anti-poverty programmes (no one knows how many there are) delivered, we wouldn't have had this problem. Unfortunately, there is a Gresham's Law in policy too—bad policies drive out the good. The answer lies not just in increasing public expenditure, but in focusing it on select areas of infrastructure (physical and social), in governance and in improving efficiency at the state and local-body level. One does not want this State of the States report to lead to a Ministry of Inequality or a GOM or a Commission. ■



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